

the strategy sprang up. Within a short while, most of the excess returns had been squeezed out and it was time to seek another hunting ground.

In the mid-to-late 1980s, bankrupt and distressed securities were shunned by most investors. Many institutions had adopted internal rules forcing them to sell a company's bonds when it went bankrupt or got downgraded below investment grade. Furthermore, the complexity of Chapter 11 encouraged many to leave the court process and haggling to others. The savings and loan crisis, the recession of 1990–1991, and the bankruptcy of Drexel Burnham Lambert created a flood of bonds in a market with few buyers. Great assets and companies could be bought at bargain prices. Successful investment firms were formed, careers launched, and fortunes made. As with risk arbitrage, talent and capital rushed in, and funds were created with mandates to buy distressed bonds. Today, those easy pickings are long gone, and the world of distressed investing has become fiercely competitive.

As I continued the search for attractive investments, in recent years I have begun actively pursuing private assets. Many investors see public and private investing as separate and distinct worlds, but to me the line between them is blurry at best and often nonexistent. The fundamental principles of each are the same, opportunities within an industry can be found in both, and wisdom gleaned in one can be applied in the other. I have also learned that moving between public and private holdings can help one find investments whose intangible factors are more likely to act as a tailwind than a headwind, and thereby increase the margin of safety. Some of the most successful investors in the world, those such as Warren Buffett, enjoy a flexible mandate. The longtime involvement of my own firm, Abrams Capital—17 years and counting—in auto retailing illustrates this and highlights some of the trade-offs between liquid and illiquid assets.

In 2005, Abrams Capital bought shares in two publicly traded auto retailers because the stocks were trading at bargain multiples and we